



CROWN PAINTS KENYA LIMITED AND SUBSIDIARIES UNAUDITED HALF YEAR RESULTS FOR THE PERIOD ENDED 30TH JUNE 2018

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT

	30TH JUNE 2018	31ST DECEMBER 2017 Restated	31ST DECEMBER 2017 Audited
	KShs'000	KShs'000	KShs'000
ASSETS			
NON-CURRENT ASSETS	1,454,755	1,326,240	1,326,240
CURRENT ASSETS	3,171,169	3,572,893	4,545,367
TOTAL ASSETS	4,625,924	4,899,133	5,871,607
EQUITY AND LIABILITIES			
EQUITY			
Share Capital	355,905	355,905	355,905
Reserves	469,938	429,237	1,401,711
	825,843	785,142	1,757,616
NON-CURRENT LIABILITIES	310,552	296,107	296,107
CURRENT LIABILITIES	3,489,529	3,817,884	3,817,884
	3,800,081	4,113,991	4,113,991
TOTAL EQUITY AND LIABILITIES	4,625,924	4,899,133	5,871,607

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED

	30-Jun-18 KShs'000	31-Dec-17 KShs'000	30-Jun-17 KShs'000
REVENUE	3,877,955	7,351,326	3,700,803
PROFIT BEFORE TAX	90,353	398,129	110,131
TAX EXPENSE	(49,652)	(174,835)	(49,669)
PROFIT FOR THE YEAR	40,701	223,294	60,462
Other comprehensive income	-	6,371	-
Total comprehensive income	40,701	229,665	60,462
Basic and diluted earnings per share	0.57	3.14	0.85
Number of shares issued	71,181	71,181	71,181

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED

	30TH JUNE 2018	31ST DECEMBER 2017
	KShs'000	KShs'000
Cash flows (used in) generated from operations	(14,270)	132,032
Income tax paid	(8,740)	(144,663)
Interest received	-	1,103
Interest paid	(144,712)	(185,789)
Net cash used in operating activities	(167,722)	(197,317)
Net cash used in investing activities	(224,326)	(203,660)
Net cash generated from financing activities	426,806	202,744
Net increase/(decrease) in cash and cash equivalents	34,759	(198,233)
Cash and cash equivalents at the beginning of the year	(114,676)	71,258
Effect of exchange rate changes on cash & cash equivalents	505	12,299
Cash and cash equivalents at the end of the year	(79,412)	(114,676)

	Share Capital	Share Premium	Revaluation & foreign currency translation reserve	Retained Earnings	Total
As at 31/12/2017	355,905	80,174	197,059	1,124,478	1,757,616
IFRS 9 Impairment Change				(972,474)	(972,474)
As at 01/01/2018	355,905	80,174	197,059	152,004	785,142
Profit for the year				40,701	40,701
As at 30/06/2018	355,905	80,174	197,059	192,705	825,843

NOTES TO INTERIM FINANCIAL STATEMENTS

The same accounting policies and methods of computation are followed in the interim statements as compared to the most recent annual financial statements.

Impact of IFRS 9

With effect from 1st January 2018, we adopted IFRS 9 Financial Instruments that replaces IAS 39 Financial Instruments. The impact arising from the implementation of IFRS 9 are as follows;

1. Total impairment allowance and provisions for the Crown Group increased by Kes 972 million in addition to the Kes 346 million as at 31st December 2017.
2. The statement of financial position as at 31 December 2017 was restated, resulting in a decrease in Retained earnings amounting to Kes 972 million.

BUSINESS COMMENTARY

- Group revenue has increased by 5% compared to the same period in 2017
- Profit before tax decreased by 18% compared to corresponding period of 2017.
- The cost of raw material has increased over the year and is expected to affect profitability for the year.

DIVIDEND

The Board of Directors does not recommend payment of an interim dividend.

By Order of the Board
Conrad Nyukuri,
Company secretary
28th August 2018

